

Sweetgreen

Strategic Analysis

Connecting People to Real Food.

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Agenda

- 01 Strategic Highlights
- 02 External Analysis — STEEPG + Five Forces
- 03 Internal Analysis — Value Chain + VRIST
- 04 Competitive Benchmarking
- 05 Performance Assessment
- 06 Integrated Takeaways

Strategic Highlights

Market Position · Operational Organization · Operating Margin Issues

STRATEGIC HIGHLIGHTS

Market Position

Salad bowls in fast-casual space

Young company relative to peers

Target customer: urban, health-conscious

Operational Organization

200+ local farm partners

Fresh Ingredients

Infinite Kitchen

Operating Margin Issues

~\$20 per salad bowl

SSS growth is rapidly declining

Overhead is ~1/4 of revenue

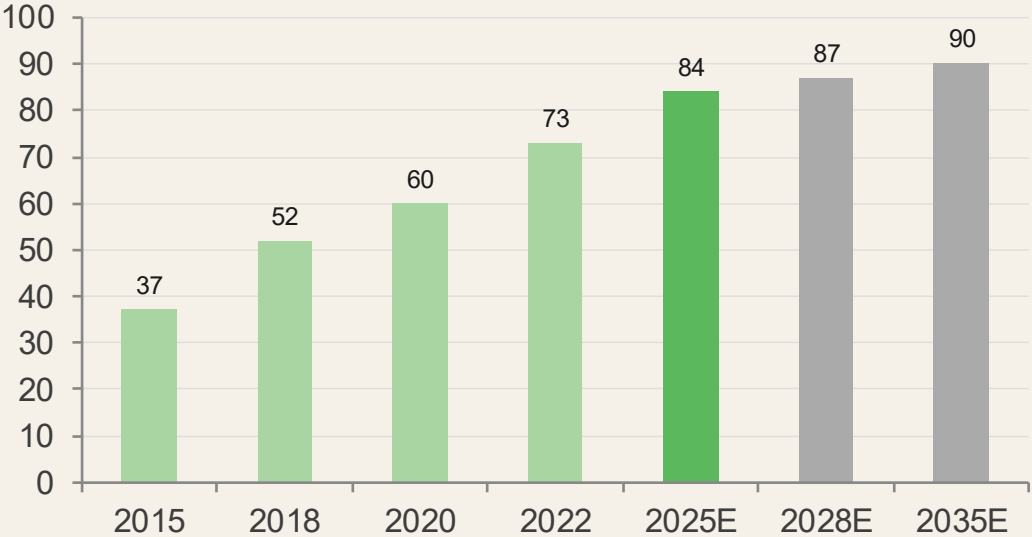
SWEETGREEN'S STRUGGLE: PROFITABILITY

Despite Sweetgreen's proprietary IP, market position, and sustainable edge, their high sticker price paired with high costs result in negative profitability

External Analysis

STEEPG · Industry Attractiveness · Porter's Five Forces

U.S. Fast Casual Restaurant Market (\$B)



Market Size —

\$84.1B (2025E) → \$90.2B (2035E); 6.4% CAGR

Locations —

~44,100 fast casual U.S. locations; 215,000+ total food service

Growth Stage —

Maturing category — Technomic projects growth deceleration through 2026

Key Driver —

Health & wellness secular trend; digital-first ordering; automation

NAICS Code —

72251b — Fast Casual Restaurants (sub-segment of Full Service)

KEY PLAYERS BY REVENUE (2024)

Chipotle

\$11.3B

3,500+ locations

Panera

~\$6B

2,000+ locations

CAVA

~\$950M

360+ locations

sweetgreen

\$677M

251 locations

Shake Shack

~\$480M

550+ locations

S

Social

↑ TAILWIND

50%+ of U.S. consumers prioritize nutrition when dining out. Sweetgreen's value proposition directly aligns with consumers' desire to eat healthier with locally sourced ingredients.

T

Technological

↑ TAILWIND

Mobile ordering is becoming the standard for fast-casual chains. AI demand forecasting and digital loyalty (~65% of SG's revenue) create structural operating leverage.

E

Economic

↓ HEADWIND

Consumers experience substantial sticker shock on ~\$20 lunch bowls. While the core, urban customer remains resilient, economic pressure is compressing same-store sales (-11.5% Q4 '25).

E

Ecological/Environmental

↔ MIXED

While climate volatility poses real risks to ingredient costs (given the menu seasonality), sustainability differentiates Sweetgreen with ESG investors.

P

Political / Legal

↔ MIXED

RFK Jr.'s 'Make America Healthy Again' initiative may boost clean-label restaurants. However, the administration may impose tariffs on food imports. Some states are raising minimum wage (CA, NY, IL) and immigration policy will ultimately affect labor costs.

G

Global / Competitive

↓ HEADWIND

The fast casual industry is entering maturity. Chains are rapidly upgrading quality, narrowing Sweetgreen's differentiation with the value-seeking (core) customer.

HIGH, INCREASING	Rivalry Among Competitors Chipotle, CAVA, Shake Shack, Panera, and other regional salad chains compete for the urban, health-conscious customer. Customers experience “bowl fatigue,” intensifying the rivalry.
HIGH, STEADY	Threat of New Entrants Sweetgreen's Infinite Kitchen IP, 200+ farm partnerships, and 18-year brand equity create meaningful barriers against serious challengers replicating its model. However, R&D investment and investing in skilled labor help new entrants overcome such barriers.
MODERATE, STEADY	Supplier Power 200+ farm partners diversify suppliers and reduce bargaining power. However, rotational menus create commodity risk. Climate change/volatility and the no-freezer policy limit flexibility to substitute suppliers.
HIGH, STEADY	Buyer Power Health-conscious consumers have abundant, growing alternatives. Location dictates the power balance. ~\$20 average price triggers intense price elasticity as the economy declines. Digital loyalty programs mitigate some potential customer switching.
HIGH, STEADY	Threat of Substitutes Home cooking, delivered meal kits, and handheld fast-casual formats (including sandwiches, tacos, and burritos) all compete with “bowl” fast-casual. The present shift toward protein-heavy handheld formats represents a demand risk for “bowl” fast casual chains.

EXTERNAL KEY TAKEAWAY

There is a narrow window for industry disruption.

Health tailwind is durable



Approximately half of consumers now prioritize nutrition. This is a structural shift rather than a temporary cyclical change. Sweetgreen, known for its “healthiness” is better positioned than other competitors to capture this shift.

Today's environment is challenging



Rivalry and buyer power are high. Industry growth is decelerating. Sweetgreen’s \$20 price point is under real pressure as economic headwinds intensify through 2026.

Internal Analysis

Value Chain · VRIST Resource Framework

PRIMARY ACTIVITIES

Inbound Logistics	Operations	Marketing & Sales	Outbound & Digital	Service
★★★★	★★★★	★★★	★★★★	★
200+ local farm partners No freezers — fresh only Seasonal sourcing calendar Centralized ingredient forecasting based on digital demand	Infinite Kitchen robotics Assembly-line style bowl Open Kitchens Faster throughput Standardized quality at scale Differentiation via sourcing transparency	Mission-driven brand Celebrity / chef collabs Naomi Osaka, David Chang Limited-time seasonal menu drops Loyalty program integration	Majority digital revenue App, Outpost catering Sweetlane drive-thru pilot	Counter service model At par with competitors Limited differentiation App-based consumer feedback Nutrition and sustainability transparency

SUPPORT ACTIVITIES

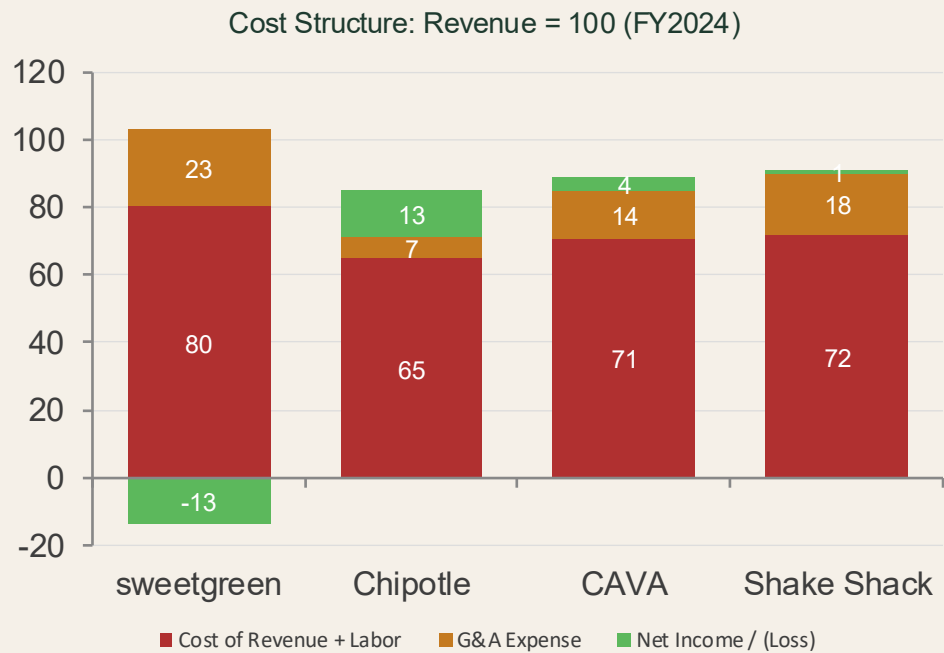
- Research & Development — Infinite Kitchen IP; proprietary app/ordering; AI demand forecasting; seasonal menu innovation
- HR & Culture — Mission-driven employer; paid voting time off; 6,000+ employees; training on food prep; strong ESG culture
- Procurement / Sourcing — Dedicated farm team; seasonal menus tied to ingredient availability; ESG-aligned supply chain; ingredient traceability systems
- Firm Infrastructure — Los Angeles HQ; 100% company-owned (no franchise); NYSE: SG since Nov 2021

Resource / Capability	Valuable	Rare	Inimitable	Substituted	Transferable	Verdict
Infinite Kitchen Automation	✓	✓	✓	✓	✗	COMPETITIVE ADVANTAGE
200+ Local Farm Network	✓	✓	●	✓	✗	COMPETITIVE ADVANTAGE
Mission Brand & Culture	✓	✓	●	✓	✗	COMPETITIVE ADVANTAGE
Digital Platform & Loyalty	✓	●	✗	✓	✓	COMPETITIVE PARITY
Menu R&D / Seasonal Curation	✓	●	✗	✓	✓	COMPETITIVE PARITY
Physical Footprint (281 locs)	✓	✗	✗	✓	✓	BELOW PAR

✓ = Yes · ● = Partially · ✗ = No · Inimitable reflects IP, relationships, and time-required to replicate, not merely whether it's possible

Competitive Benchmarking

Revenue-Indexed Cost Structure · Peer KPI Comparison



Source: Company FY2024 10-Ks; Yahoo Finance; Macrotrends (Revenue=100 indexed)

Metric	SG ★	CMG	CAVA	SHAK
Revenue	\$677M	\$11.3B	~\$950M	~\$480M
# Locations	251	3,500+	360+	550+
AUV (\$M)	\$2.9	\$3.3	\$2.6	~\$4.1
R-L Margin	18.1%	~27%	~24%	~22%
Infinite Kitchen	✓ YES	✗	✗	✗
Profitable?	✗ No	✓ Yes	✓ Yes	✓ Yes
Digital Rev	55%	~37%	N/A	~35%
SSS Growth	-9.5%*	+7.4%	+18%	+4%

★ = sweetgreen highlighted · R-L = Restaurant-Level margin · * Q3 2025 SSS

KEY GAPS vs. BEST-IN-CLASS (Revenue = 100 Indexed)

Cost of Revenue

SG 80.3 vs. 65 (CMG) → -15 pts

G&A Expense

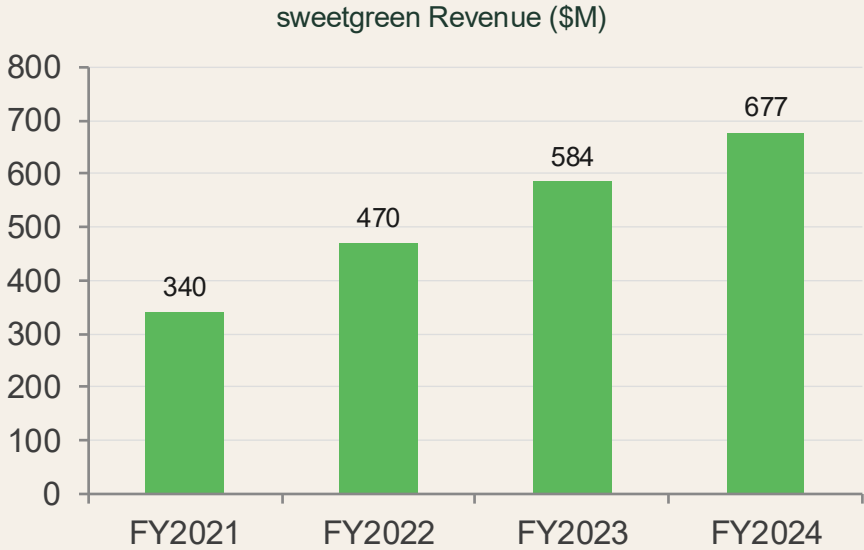
SG 23.1 vs. 6.5 (CMG) → -16.6 pts

IK Margin Uplift

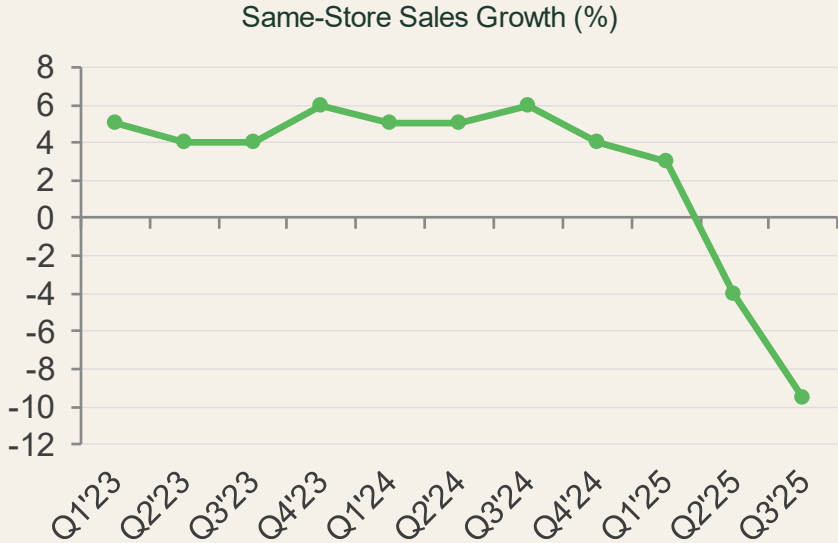
SG 28% vs. 18.1% sys avg → +10 pts ✓

Performance Assessment

Revenue Trajectory · SSS Trend · Stock vs. Peers



Source: Sweetgreen Quarterly Earnings Releases



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\$677M

2024 Revenue

-\$90M

Net Loss 2024

18.1%

Avg R-L Margin

28%

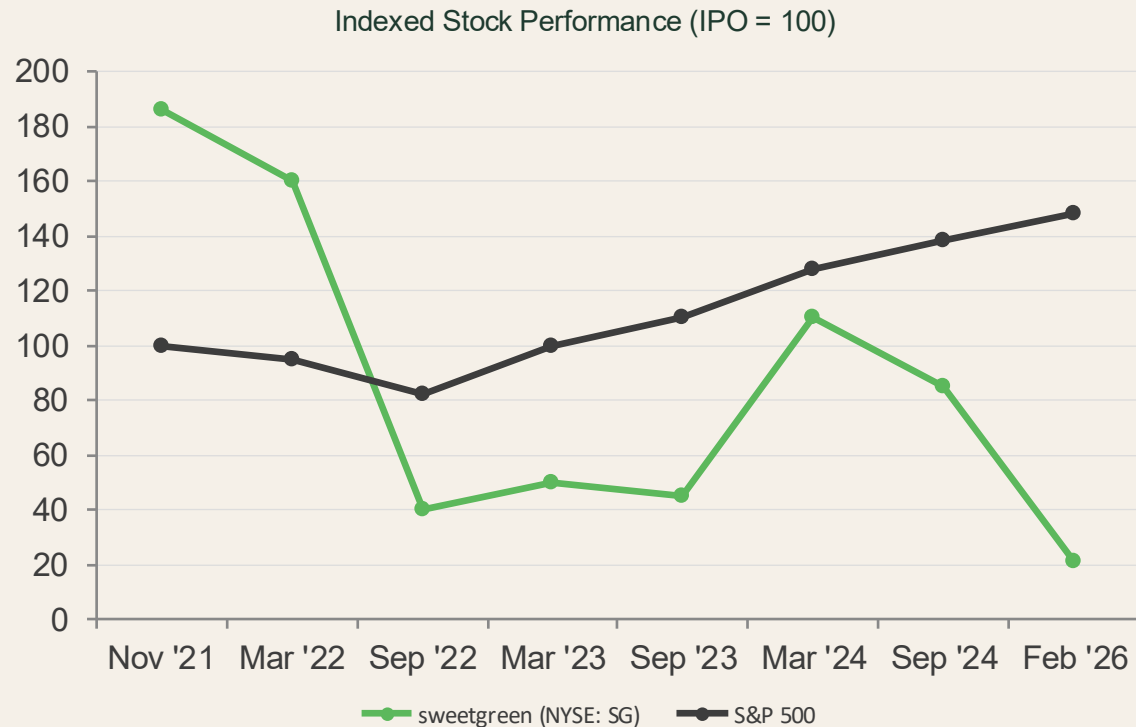
IK Margin

+6%

FY2024 SSS

-9.5%

Q3 2025 SSS



Source: Yahoo Finance; MacroTrends (SG IPO day = 100)

STOCK MILESTONES

Nov 2021

IPO at \$28, opened \$52 (Day 1 +86%)

2022

–80% from ATH as growth stocks sold off

2023–24

Volatility; multiple CEO commentary on margin path

2024

+100% YTD recovery but still –75% from ATH

Feb 2026

\$5.86/share — –90% from ATH, –79% from IPO price

Revenue +99% since IPO
Stock –79% since IPO
Market pricing in execution risk

STRENGTHS

- Infinite Kitchen — 28% margin vs. 18.1% system avg
- 200+ farm partners — authentic, hard-to-replicate supply chain
- 55% digital revenue — best-in-class for fast casual
- Mission-driven brand — premium, loyal customer base
- Founder-led (Neman/Jammet/Ru) — strategic clarity and mission alignment

WEAKNESSES

- Not yet profitable — \$(90M) net loss FY2024
- 251 locations vs. Chipotle's 3,500+ — material scale gap
- High avg. check (~\$17–20) — real price sensitivity in 2025–26
- SSS –9.5% Q3 2025 — traffic headwinds intensifying
- No franchise model — slower, more capital-intensive expansion

OPPORTUNITIES

- Scale Infinite Kitchen (target 50% of new openings in 2025+)
- Suburban expansion + Sweetlane drive-thru — new demographics
- Protein-forward menu (Power Max 106g) — attack bowl perception
- Catering & corporate outpost — underpenetrated B2B revenue stream
- RFK/MAHA tailwind — structural boost for clean-label restaurants

THREATS

- Bowl fatigue — consumer shift to handheld / sandwich formats
- Category maturity — Technomic projects deceleration through 2026
- QSR quality gap narrowing — McDonald's, Chick-fil-A competing
- Rising labor + food costs — tariffs, min. wage, immigration policy
- Investor sentiment — stock –90% from ATH limits capital access

Real competitive advantages — real execution gap.

Sweetgreen has built three genuine competitive advantages that no competitor can easily replicate: Infinite Kitchen automation, its 200+ farm partner network, and a mission brand that drives loyalty. These are real moats.

The automation advantage is the clearest path to profitability

At 28% margins vs. 18.1% system average, each Infinite Kitchen is a 10-point margin uplift. Scaling to 50%+ of new openings in 2025+ is the most executable lever the company controls.

The cost structure gap vs. Chipotle is the central challenge

Revenue-indexed analysis shows SG's cost of revenue runs 15 points worse than Chipotle and G&A runs 16 points worse. Without scale, these gaps compound. There is no shortcut — only location growth + Infinite Kitchen rollout closes them.

The price point is creating a real customer access problem

SSS of -9.5% in Q3 2025 signals that the ~\$20 average check is now a barrier, not just a premium signal. Management's acknowledgment of the need for better 'entry price' options is the right instinct — execution speed is the question.

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